interdependence has faded out.

However, in the face of globalization and with the end of the Cold War, emergence of new forms of competition and cooperation among advanced capitalist economies, increased interdependence of production and trade, rapid growth and shifting patterns of international finance have led to the rise of renewed interest in regionalism and regional integration if not much on a political platform but rather on an economic sphere. Regionalism is now treated as a contingency plan and “as an intermediary between the global and the national and as a market strategy to mitigate the impact of global competition in goods and services”.[16] The outcome of this is seen in the nature of adoption of new forms of regional associations involving the development of a complex process of new sets of relationships with other states and macro-regions. Therefore, regions now have come to occupy a preferred place in the life of states in a globalizing world and they are generally regarded as lying at the intersection of the local and the global. Therefore, in the present context, regionalism is viewed by many as “Overwhelmingly the result of a set of strategic calculations by actors located inside states and societies who push for integration as a way of positioning themselves in response to global change”.[17]